12.(U) On January 13, Gulf Air and Boeing signed the $6 billion Boeing deal. Dreamliner delivery will start in 2016. In the meantime, Kooheji said Gulf Air will seek to meet its needs via the leasing market. The purchase will be supported via a blend of commercial and ExIm Bank financing with the sovereign backing of the GOB.

------- LAST-MINUTE FRENCH RECLAMA -------

13.(C) GOB officials tell Emboffs that French President Sarkozy, who was visiting the region at the time, made a last-minute call to King Hamad. Sarkozy reportedly said he would add Bahrain to his itinerary during the week of January 13 on the condition that he could sign a contract for 21 Airbus planes. French officials reportedly canceled the visit on news of the Boeing deal. Foreign Minister Sheikh Khalid told Ambassador that he would be calling in the local French Ambassador to tell her "we don't appreciate being dealt with this way."

------- COMMENT -------

14.(C) Although Gulf Air has just completed a major long-range aircraft purchase, it is not finished shopping. Kooheji has said Gulf Air still needs to replace eight of its mid-range aircraft. Gulf Air has already signed an MOU with Airbus for those planes, but Kooheji notes that bidding remains open. It seems likely that Gulf Air will choose to replace eight of its Airbus A-320s with newer planes from that manufacturer. But as Boeing's recent win illustrates, Airbus is in no position take Gulf Air's business for granted. Post will certainly continue to hail the advantages of a Boeing solution.

15.(C) The Embassy's role in Boeing's success is noteworthy for advancing well beyond every-day advocacy. Gulf Air relied on the Embassy to not only communicate with Boeing, but to get the best possible deal; Boeing turned to us for an understanding of the true facts on the ground (which at times belied appearances) and as a force multiplier, conveying the Boeing advantage at all levels. These efforts resulted in a win-win solution. In a letter of thanks to the Ambassador Boeing stated, "Your continued effort to touch the right leaders and remain a strong advocate for Boeing in this process made an enormous difference in the final outcome. The working together activity between you, your team, and Boeing is a model that we should really aspire to replicate in other countries."